

DISSENTING OPINION
OF M. ALTAMIRA AND SIR CECIL HURST.

WE, the undersigned judges of the Court, regret that we are unable to concur in the judgment of the Court for the following reasons.

Apart from other points which will be considered hereinafter, the two main questions in regard to which our opinion differs from that of the majority are the question of the interpretation of Article 435, paragraph 2, in so far as concerns the second part of the question submitted to the Court by Article 1, paragraph 1, of the Special Agreement of 1924 and the question of the interpretation of this Special Agreement, and, in particular, of Article 2, paragraph 1, thereof.

Article 1, paragraph 1, of the Special Agreement asks the Court to say whether "as between France and Switzerland, Article 435, paragraph 2, of the Treaty of Versailles", etc., "has abrogated or is intended to lead to the abrogation of the provisions regarding the customs and economic régime of the free zones", etc. There are therefore two distinct questions. We have no remarks to make as regards the first. As regards the second (whether Article 435, paragraph 2, "is intended to lead to the abrogation"), a preliminary observation must be made: the question is so worded that it is put with regard to Article 435, paragraph 2, with its Annexes, but only from the point of view of the legal effect of that clause upon the international relations "between France and Switzerland". Accordingly, it is clear that whatever answer is given to this question cannot prejudice the interpretation of the Article outside the concrete case specifically defined by the Special Agreement in Article 1.

This question of the "object", that is to say of the intention, of Article 435 in itself, was not included in the Swiss counter-proposal of 1924, in which, for the first time, the idea of formulating the dispute between the two Governments in terms of an interpretation of the above-mentioned Article 435 was envisaged. It appears only in the Special Agreement, as finally worded in 1924; and so soon as the proceedings

following upon the submission of this Special Agreement to the Court had begun, a modification in the wording of the question above mentioned is to be observed in the submissions appended to the Swiss Reply of 1929 (submission No. 2), where the words "is intended to lead to the abrogation" are explained as meaning whether or not it (Art. 435, para. 2) compels Switzerland to accept the abrogation of the free zones as the only possible basis of the future settlement.

This interpretation of the second question put by Article 1, paragraph 1, of the Special Agreement has been accepted by the Court, which has given expression to it by introducing the word "necessarily" which has the same effect as the words "only possible basis" used by Switzerland. It seems evident that the Court, like the Swiss Agent, in adopting this interpretation, definitely had in mind the future negotiations with a view to the conclusion of an agreement provided for by paragraph 2 of Article 435 of the Treaty of Versailles. These negotiations, to which the signatory Powers left the final settlement of the matter and likewise the carrying out in full of the terms of the Article, indicate the point at which the zones' question, originally stated in Article 435 from the point of view of the ideas and intentions of the Powers signatory to the Treaty and from that of the provisions originally establishing the zones' régime, becomes a question exclusively within the jurisdiction of the two States primarily concerned. It is also evident that the real object of this change, as expressed in the closing words of paragraph 2 of Article 435, is to prevent any attempt to force Switzerland to accept abrogation as "the only possible basis" of the agreement.

The consequences which logically ensue are in our view as follows: that abrogation may be envisaged as a possible basis for the agreement, and that, even if the question put by Article 1, paragraph 1, of the Special Agreement, be answered in the terms suggested by Switzerland and adopted by the Court, it does not follow that this answer exhausts the interpretation of the question of the intention of Article 435, paragraph 2. For the answer given, as we have just shown, only has in mind the relations between France and Switzerland for the purposes of the negotiations, and cannot in any

way affect the meaning which Article 435 bore in the intention of the Powers which signed the Treaty of Versailles.

Accordingly, the question of the intention of the Article itself remains intact, and, in any case, the answer is not to be found in a decision relating to an aspect of it entirely different from that which emerges from the terms and tenour of the Article taken by itself. So that the conversion of the answer given on the basis of the interpolation of the word "necessarily" into an answer where this word (and consequently also the interpretation which led to its insertion) has disappeared, does not seem justified. The answer to the question in the Special Agreement must be left with the limited scope attaching thereto—this we do not discuss—and the interpretation of the other aspect which was not envisaged in Article 1 of the Special Agreement must at the same time be left open.

The question, when regarded from this other aspect, can in our view only be answered in the affirmative, that is to say that Article 435 was intended to lead to the abrogation of the zones in the sense that the signatory Powers considered that the inconsistency between the old provisions and present conditions pointed to such abolition, and that even though they did not wish to force Switzerland to accept such abolition—she not being a signatory of the Treaty—they considered that the contemplated agreement should lead to this result, just as the agreement regarding the neutralized zone had done. Moreover, the actual text of the whole Article affords, in our view, clear proof that the opinion expressed therein by the High Contracting Parties is also indicative of the object aimed at by the Article. This is true not only of the second paragraph but also of the first. A careful study of the wording of this paragraph shows that the High Contracting Parties do not confine themselves simply to acquiescing in the agreement concluded between the French and Swiss Governments, but also expressly state the reason for their acquiescence. This reason is that the High Contracting Parties consider the agreement mentioned to be in accordance with the consequence which naturally ensues from the declaration made by them regarding the inconsistency of the old provisions concerning the neutralized zone and

"present conditions". The first sentence of this paragraph, in so far as is essential in this respect, says: "The High Contracting Parties, while they recognize the guarantees stipulated in favour of Switzerland declare that the provisions are no longer consistent with present conditions." This sentence in itself and by its general arrangement explains the fact that the High Contracting Parties are willing to accept—as they do in so many words—an agreement abrogating these guarantees. And to remove any possibility of doubt as to this meaning which we read into the first sentence of the paragraph, the second begins: "For this reason", i.e. for the reason that the old provisions are inconsistent with present conditions and that this had led to the abrogation of the guarantees given in 1815. It is worthy of note that the first sentence does not mention the agreement, and, accordingly, is not in itself applicable to it—the application only follows from the connection established by the words "For this reason" in the second sentence between the principle laid down in the first and the fact, not of the agreement, but of the acceptance of the agreement which is recorded by the customary formula "take note".

It is certain that if the agreement had not been in accordance with the principle referred to, the High Contracting Parties would not have accepted it.

This interpretation is not incompatible with that given in reply to the concrete question in the Special Agreement, because each interpretation corresponds to one of the two elements which together form the contents of the Article: the inconsistency between the provisions concerning the zones and present conditions, which inconsistency is categorically stated as a fact by the Powers, and the respect for the will of Switzerland which must have free play in the endeavour to reach an agreement since that country was not a Party to the Treaty.

Furthermore, these two elements and their respective interpretations naturally lead to different consequences. In so far as concerns negotiations with a view to an agreement between France and Switzerland, there seems no doubt that it cannot be gainsaid that the latter country is so situated that

abrogation cannot be forced upon her either as sole basis for negotiations or by any singlehanded action on the part of France. On the other hand, once the Parties are outside the field of negotiations, it would seem that the other aspect of the Article must predominate. This, in our view, was what the Special Agreement contemplated and intended to make legally possible by Article 2, in the event of the further negotiations mentioned in paragraph 2 of Article 1 not resulting in an agreement. Now, these negotiations, the only ones contemplated by the Special Agreement, did not result in an agreement, nor did the further negotiations for which time was allowed by the Court in its 1930 Order. The eventuality contemplated at the beginning of Article 2 of the Special Agreement having thus materialized, the powers conferred on the Court in that eventuality come into play and must be exercised as provided in that Article.

If, according to paragraph 1 of that Article, it now rests with the Court "to pronounce its decision in regard to the question formulated in Article 1" and also "to settle for a period to be fixed by it and having regard to present conditions, all the questions involved by the execution of paragraph 2 of Article 435 of the Treaty of Versailles", it is in our view evident: (1) that "all these questions" [means "every one of the questions" and not only those which, in connection with the idea expressed in Article 1 of the Special Agreement, correspond to the stage of negotiation with a view to an agreement, a stage which is no longer in question in the present phase of the proceedings, and which is only related to the last sentence of Article 435, paragraph 2; (2) that "all the questions" necessarily include the question of the aim of this Article, in the intention of its authors, and accordingly the fulfilment of this aim. Otherwise it is certain that the Article will not be executed as required by the Special Agreement, and that the intention of the Parties as represented by this Special Agreement will also remain unfulfilled. For these reasons, we believe that the Court should have proceeded to settle all the questions involved by this execution (save as regards these to which paragraph 2 of Article 2 of the Special Agreement relates) and accordingly also the question of the object of Article 435 of the Treaty of Versailles, by examining it in

every aspect, i.e. also in relation to "present conditions", a term common to Article 435 and to the Special Agreement, instead of confining itself to the entirely concrete and therefore partial solution contemplated by Article 1 of the Special Agreement.

In our view, the fact that the power conferred on the Court by Article 2, paragraph 1, of the Special Agreement includes the possibility of executing Article 435, paragraph 2—as we understand the execution of that clause—is proved not only by the foregoing arguments but also by the following considerations.

The reason why France and Switzerland were entrusted by Article 435 with the duty of arriving at the agreement contemplated at that time, just as it was by the Court in 1929 and 1930, under the terms of the Special Agreement, appears from the opinion expressed in 1919 by the Signatories of the Treaty of Versailles when they formulated the first part of the second paragraph of Article 435. This reason is that the provisions of the old treaties, in so far as they relate to the free zones, are no longer consistent with present conditions. It is to be noted that the terms in which this opinion is expressed in the said Article are not limited in any way, nor do they attach any particular and solitary consequence to the inconsistency between the stipulations of the 1815 treaties and other supplementary instruments and any particular element in the situation which existed at the time; on the contrary, the statement as to this inconsistency is so worded as to apply to the whole of the treaty stipulations.

Accordingly, no matter whether it is thought that the essential feature of the régime lay in the withdrawal of the French customs line or whether it is thought that the essential feature consisted of economic advantages which are compatible with the placing of the customs cordon at the French political frontier, the inconsistency of the régime with "present conditions" retains its full force as expressing the purpose of the Article and, accordingly, the mind of the signatory Powers. Moreover, it certainly must not be forgotten that this interpretation of Article 435, paragraph 2, [was, in 1921, taken] as a basis for the draft convention between Switzerland and France, under which the zones were to be abrogated, which draft was

approved by the Parliaments of the two countries, though it was later rejected by the Swiss referendum. At the same time, this draft, in our view, clearly indicated that, in adopting it, the executives of the two States believed that they were effecting the agreement contemplated in the last sentence of Article 435, paragraph 2, of the Treaty of Versailles.

It is also the fact that, even after the rejection of the draft convention of 1921, the result embodied in that draft continued to be envisaged as a possible outcome of the negotiations between the Parties. The Court itself has recognized the existence of this possibility; this obviously means, once again, that the abolition of the zones is not in itself a solution essentially incompatible with the interests and economic needs of Switzerland and the zones, any more than with the meaning of Article 435 of the Treaty of Versailles. And for this reason also, we are unable (quite apart from the separate question of the terms of Article 2, paragraph 1, of the Special Agreement) to regard the limitation, which the Court holds has been imposed upon it, as an inevitable consequence of the answer to Article 1. In reality, this answer is entirely unconnected with the eventuality referred to [at the beginning of paragraph 1 of Article 2 of the Special Agreement, and therefore with the task which falls to the Court, should this eventuality materialize.

The absence of inter-dependence between Article 2 and Article 1 of the same Special Agreement is also to be explained by the following consideration, derived from facts which are well known and not disputed. At the time of the conclusion of the Special Agreement, designed to submit the dispute between the two Governments to the Court, France had abolished the zones—so far as their régime finds expression in the withdrawal of the customs line—by a unilateral act. France was, at that time, of opinion that Article 435 of the Treaty of Versailles, with its Annexes, had abrogated the former treaties—which were the basis of the Swiss right,—that this right had ceased to exist, and that France was, in consequence, justified in transferring her customs cordon to her political frontier, whether or not an agreement with Switzerland had been reached. It was in order to decide whether that view was correct, and solely with that purpose,

that the question enunciated in Article 1 of the Special Agreement was put to the Court, and that the latter, in 1929, gave its interpretation of Article 435, paragraph 2, of the Treaty of Versailles, in the terms with which all are acquainted.

Now, however, the situation is altogether different. In our view the Court's judgment should contain a settlement of the whole matter, that is to say, of all the questions raised by the execution of the said Article, which would have been settled by the Parties themselves had they reached an agreement. If the judgment fails to do this, the Court is omitting to carry out the express mandate of the Parties in regard to the new regulation of the zones' régime, which, in our view, is categorically expressed in Article 2, paragraph 1, of the Special Agreement, and also in Article 435, paragraph 2, of the Treaty of Versailles.

To us, indeed, it appears clear that what the Court has received from Switzerland, as also from France, under this Article 2 of the Special Agreement, is the power to settle all the questions involved by the execution of Article 435, paragraph 2, and a part of that settlement is the establishment of the new régime; this may involve changes extending even to the modification of what has been called the "structure" of the zones, in so far as that structure is represented by the placing of the French Customs cordon in rear of the political frontier.

The difference, in this respect, between the terms of Article 435 of the Treaty of Versailles and those of Article 2 of the Special Agreement is explained by the fact, which is entirely comprehensible, that the Treaty of Versailles, to which Switzerland was not a Party, had no power to provide for the establishment of the new régime (which it clearly considered as having to be effected, taking as a basis the inconsistency between the "former provisions" and the "present conditions") in any other way than by an agreement between Switzerland and France, whereas the Special Agreement of 1924, which was drawn up, accepted, and signed by the two States, could—and did in so many words—request the Court to effect what the Parties could have effected in 1930 and in 1931, just as they did in 1921. Therefore, and without thereby prejudging

the terms of the settlement which the Court would have to lay down, in conformity with its own convictions, it seems to us unquestionable that the Court can legitimately claim the same freedom of judgment as the Parties themselves in determining the system which would be most in harmony with the present conditions and with the ideas of Article 435 of the Treaty of Versailles.

We said just now, "the same freedom" as the Parties, but in reality it is a wider freedom, not only in view of the very nature of the Court, but also because Governments are sometimes hampered by constitutional difficulties, or difficulties of a similar kind belonging to the sphere of domestic policy, which the Court does not have to encounter.

Moreover, the Swiss [note of May 5th, 1919, cannot, in view of the existence of the Special Agreement of 1924, produce the same consequences as it did prior to that Agreement. And, as the said note is merely one of the Annexes to Article 435 of the Treaty of Versailles, it does not have to be considered in interpreting Article 2 of the Special Agreement, which makes mention only of Article 435, as it stands. It is not possible, in our opinion, to add any words to those appearing in the text of that Article of the Special Agreement without distorting it, and making it say something which it does not say. It is quite impossible for us to read the text of the Special Agreement otherwise than as it was drawn up and submitted to the Court.

Similarly, and in regard to the task now committed to the Court, when considered as a whole, it appears to us impossible to conceive of a Special Agreement which consists of five articles—of which two are articles of substance—being framed, still less being accepted—if the legal effects of it are to be confined to the question enunciated in one only of these articles (Art. 1, para. 1, in the present case). Yet this is the result at which we arrive, if we practically confine our answer to the Special Agreement of 1924 to the single point of law in its first Article, and make the judgment asked for in Article 2 dependent upon this point alone. In our opinion, it is impossible to believe, when one takes count of human psychology and more particularly of governmental

psychology, that a Special Agreement, such as that before us, could have been adopted by two States, one of which, namely France, has from the outset maintained the view that the zones were abrogated, and that this Special Agreement should contain an article, the interpretation and execution of which must necessarily be favourable exclusively to the opposite contention. The keeping open of both alternatives, that is to say, the possibility of applying the Article to either contention, is surely the natural construction in this case, whereas the presumption of a deliberate purpose to give preference to one of the contentions would really exceed all imaginable bounds of disinterestedness on the part of a State. As such a result would be utterly out of the question, the interpretation of Article 2, paragraph 1, as being applicable alike to the Swiss and French contentions appears to be the most justifiable. If any other interpretation should suggest itself, it would seem more reasonable, instead of putting a meaningless construction on the Special Agreement, to consider that it is rather the interpretation which is at fault.

We have still to examine this question of Article 2, paragraph 1, of the Special Agreement (from the point of view of the Court itself, that is to say of the Court's jurisdiction; on that point, we wish to make the following observation.

We have been unable to see, either in the text or in the construction which Articles 36 and 38 of the Statute appear to us to bear, anything which, in principle, would deprive the Court of jurisdiction to establish a settlement such as is contemplated in Article 2 of the Special Agreement, [a question which is distinct from that relating to paragraph 2. Moreover, it is clear from this Article that the Parties have thereby invested the Court with the widest measure of jurisdiction compatible with Article 38 of the Statute. Finally, it is to be noted that the Parties in the case have never, on one single occasion, thrown any doubt on the competence of the Court to perform the task specified in Article 2, paragraph 1, of the Special Agreement. They were even of opinion that the Court was competent to decide on the matter referred to in paragraph 2 of that Article, though the Court very rightly refused to do so; upon the latter point, we find ourselves in agreement with the judgment.

Hence, it appears to us that the competence of the Court is established in regard to paragraph 1 of Article 2 of the Special Agreement, and that the settlement which is asked for therein—whether or not it would be, as has been said, a settlement wholly of expediency—would have as its legal bases, on the one hand Article 2 of the Special Agreement, on the other hand Article 435 of the Treaty of Versailles, in their twofold capacity of international agreements and texts governing the jurisdiction of the Court in this case. It seems clear to us that the existence of these principles, the one emanating from the signatory Powers of the old provisions, the other from the two Governments parties in the case, would provide that settlement with a legal foundation in positive international law. By reason of this fact a settlement on the basis of “present conditions”, although it would be governed by criteria not derived from any pre-existing law between the Parties—i.e., it would be governed by the “present conditions”—would none the less be a settlement on the basis of law, that is, of the rule which the Parties themselves laid down in the Special Agreement in order to obtain a final settlement of the case, through a judgment of the Court, taking the place of a voluntary agreement between themselves.

This line of argument might encounter an objection based on the distinction that has been drawn between the structure of the zones and their economic régime. If such a distinction were not only accurate and possible, but also necessary, one might, for example, be led to the conclusion that the structure should be retained and the economic system modified. That would imply the assumption that the structure, as such, is the invariable feature of the zones, whereas the regulations, or economic advantages, are its variable features; but the former of these suppositions would be far from justified in our opinion.

For indeed, although it is true—as we unreservedly admit—that, in order that the right of negotiations, which is provided for in the last sentence of Article 435, paragraph 2, of the Treaty of Versailles, may be exercised, it is necessary that the step taken by France in 1923 should be regarded as illegal, and should be cancelled, nevertheless it does not

follow that the zones system must necessarily continue to be based on the withdrawal of the French Customs cordon in rear of the political frontier. The same customs advantages as are derived from the withdrawal of the customs line may be obtained, with the good-will of the State concerned, by other means, also dependent on the same factor. The Convention of 1921 showed that this was in fact possible; and, in the face of that demonstration, it cannot now be maintained that the economic benefits of the system, which have always been regarded as its essential advantage, would not be attainable unless the customs cordon and the political frontier were kept apart. That would be tantamount to arguing that it would not be possible for a State to establish a free-trade system, even if of a highly developed kind, without shifting its customs line; yet this has been frequently found possible and will continue to be so, unless some day absolute free trade should be introduced. But even in the last case, it would be unnecessary to withdraw the customs line, since the customs offices themselves would have ceased to exist throughout the territory.

In conclusion, we wish to make every reservation in regard to a theory seeking to lay down, as a principle, that rights accorded to third Parties by international conventions, to which the favoured State is not a Party, cannot be amended or abolished, even by the States which accorded them, without the consent of the third State; such a theory would be fraught with so great peril for the future of conventions of this kind now in force, that it would be most dangerous to rely on it in support of any conclusion whatever. Fortunately, in the present case, this question does not arise, since, as regards the compulsory abolition of the zones, the last sentence of paragraph 2 of Article 435 appears to place the position of the signatory Powers of the Treaty of Versailles and of Switzerland on a plane other than the above.

(Signed) RAFAEL ALTAMIRA.

(„) C. J. B. HURST.